

Strategy in Action Canvas: Training Script

Table of Contents

- Introduction to Strategy
- What it is and why it matters
- High-level structure
 - Strategy
 - Execution
 - Financial Performance
- Conclusion

Introduction to Strategy

Welcome everyone my name is Roberto Quaglia, Professor of Strategy and Management at ESCP Business School. Let me briefly introduce myself.

First of all, I am an alumni of ESCP, having completed some years ago. After school, I moved to McKinsey & Co., where I had the chance to practice strategy with very challenging consulting assignments and clients.

While at McKinsey, ESCP asked me to help with opening a campus in Italy, which I did initially pro-bono, but then, it became a full-time endeavour, and I served as the first Dean in Italy for ten years. When I passed the baton in Italy, I moved to the Paris campus, where I serve now.

I keep serving some clients as a consultant or facilitator of leadership teams, facing challenges in the domains of leadership and strategy

But let's now move to our course addressing the question: what is strategy really about?

OPERATIONAL EFFECTIVENESS — ≠ — STRATEGY

Let us begin by dispelling a common misconception.

Many managers conflate operational effectiveness with strategy. They are not the same.

Operational effectiveness means performing similar activities better than rivals — faster, cheaper more efficiently.

Think of German manufacturers in the 1980s: - their excellence in engineering and process innovation, setting global benchmarks.

Yet, Porter warns us: while operational improvements are necessary, they are not sufficient. Why?

Because best practices spread quickly. Competitors catch up. The productivity frontier shifts. But no one, pulls ahead for long.



True strategy, then, is about being different. It is the creation of a unique and valuable position, rooted in performing different activities — or similar ones in different ways — from those of rivals.

Ryanair's model is built on ultra-low-cost, point-to-point service using secondary airports and rapid aircraft turnarounds. It avoids free catering, seat selection, and connections. These aren't just cost-saving — they are strategic decisions, reinforcing a coherent and distinctive system.

In contrast, British Airways offers a full-service experience, with intercontinental routes, business lounges, and a wide array of passenger amenities. If it tried to mimic Ryanair while retaining its legacy services, it would risk strategic inconsistency. The lesson? Strategy involves trade-offs.



Trade-offs are the essence of strategy. They make positioning sustainable.

You cannot be all things to all customers without undermining your own advantage.

La Roche-Posay positions its skincare as being dermatologically tested and sold in pharmacies. It avoids mass retail and celebrity endorsements.

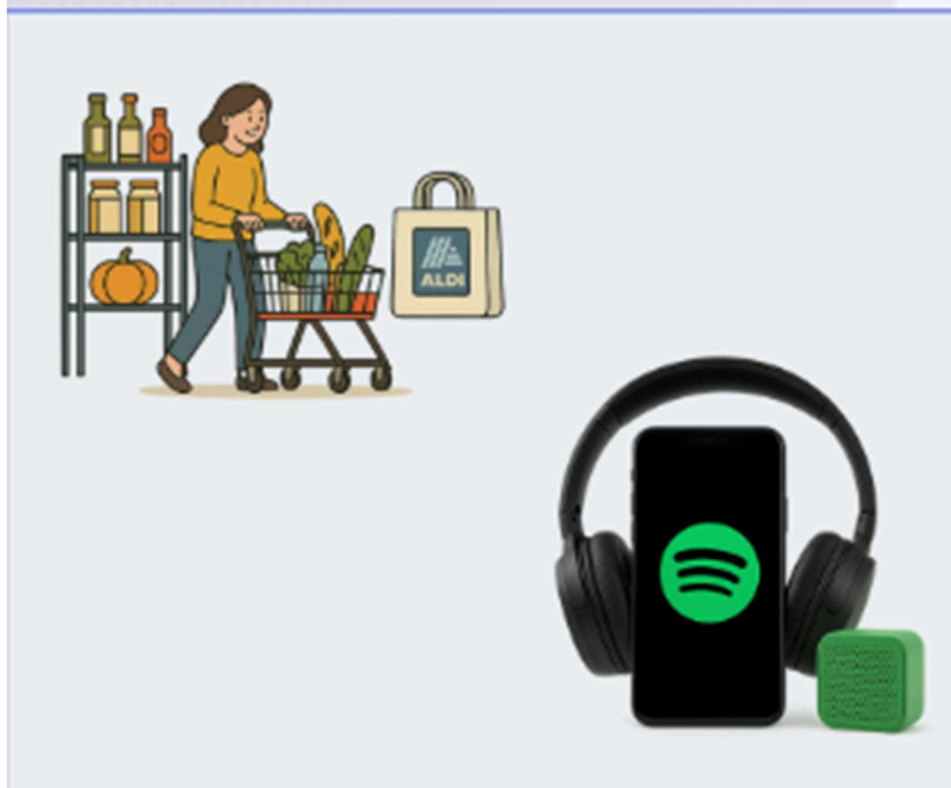
This clarity protects its medical image and targeted niche.



A third core concept is fit — the alignment of activities to reinforce one another. Porter argues that it's not just the parts of a strategy that matter, but how well they work together.

IKEA, the Swedish retailer, targets young, budget-conscious consumers willing to trade service for style and price. Its flat-pack furniture, self-service warehouses, in-store childcare, and even cafeteria-style restaurants all support this position. Each activity amplifies the others, making IKEA hard to imitate.

Fit enhances not just competitive advantage — but its sustainability.

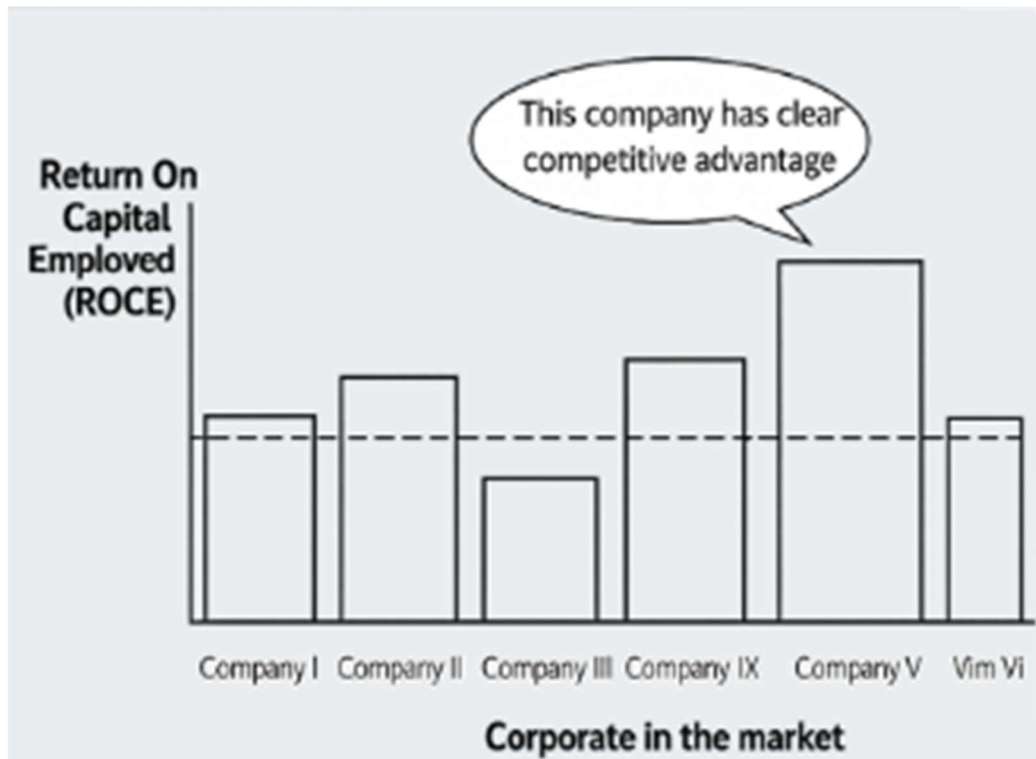


After all - strategy is only meaningful if it leads to a sustainable competitive advantage - an advantage that is not easily imitated and that persists over time.

This sustainability stems from an organisation's ability to perform distinctive activities, make trade-offs, and reinforce fit, in ways that create enduring value.

Aldi's discount retail model is based on a limited product range, private labels, and efficiency across the value chain. It is highly disciplined and difficult to replicate without undermining profitability elsewhere.

Spotify's ecosystem of personalized playlists, user data analytics, and seamless platform integration creates stickiness and user loyalty. This isn't just tech innovation - it's strategic fit.



So how do we know if a strategy is working?

We measure competitive advantage by looking at relative profitability — how a firm performs compared to its rivals in the same industry.

Take some time to look at the graph, and understand why company 5 has competitive advantage.

Return on Invested Capital (ROIC) or Return on Capital Employed (ROCE) are the measures of relative performance and competitive advantage.



Strategy though, is not about the perfect game. It is rather about reaching good enough, which means building and sustaining a competitive advantage over your direct competitors.

Please watch with me the bear joke, a hilarious example of comparative advantage.



Strategy is about being different: - choosing to perform activities differently or to perform different activities than rivals.

It is not the same as operational effectiveness, which is about doing the same things better.

True strategy involves trade-offs - choosing what not to do.

It requires creating a fit among a company's activities so that they reinforce each other.

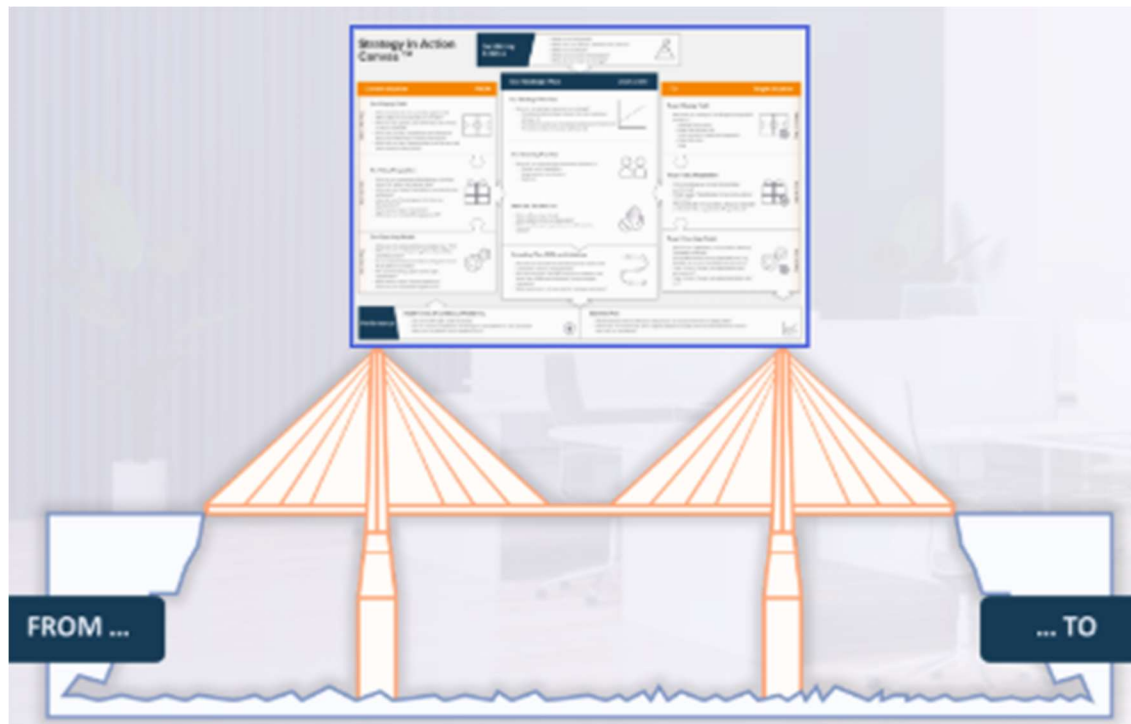
Furthermore, strategy is an endless journey, which requires to be adjourned as the future unfolds, and to have the courage to pivot if choices made are not delivering expected results.



The tower of Babel

So far, we clarified what is strategy about and that making choices now for later is the key job. Next, we need to address how we make those choices.

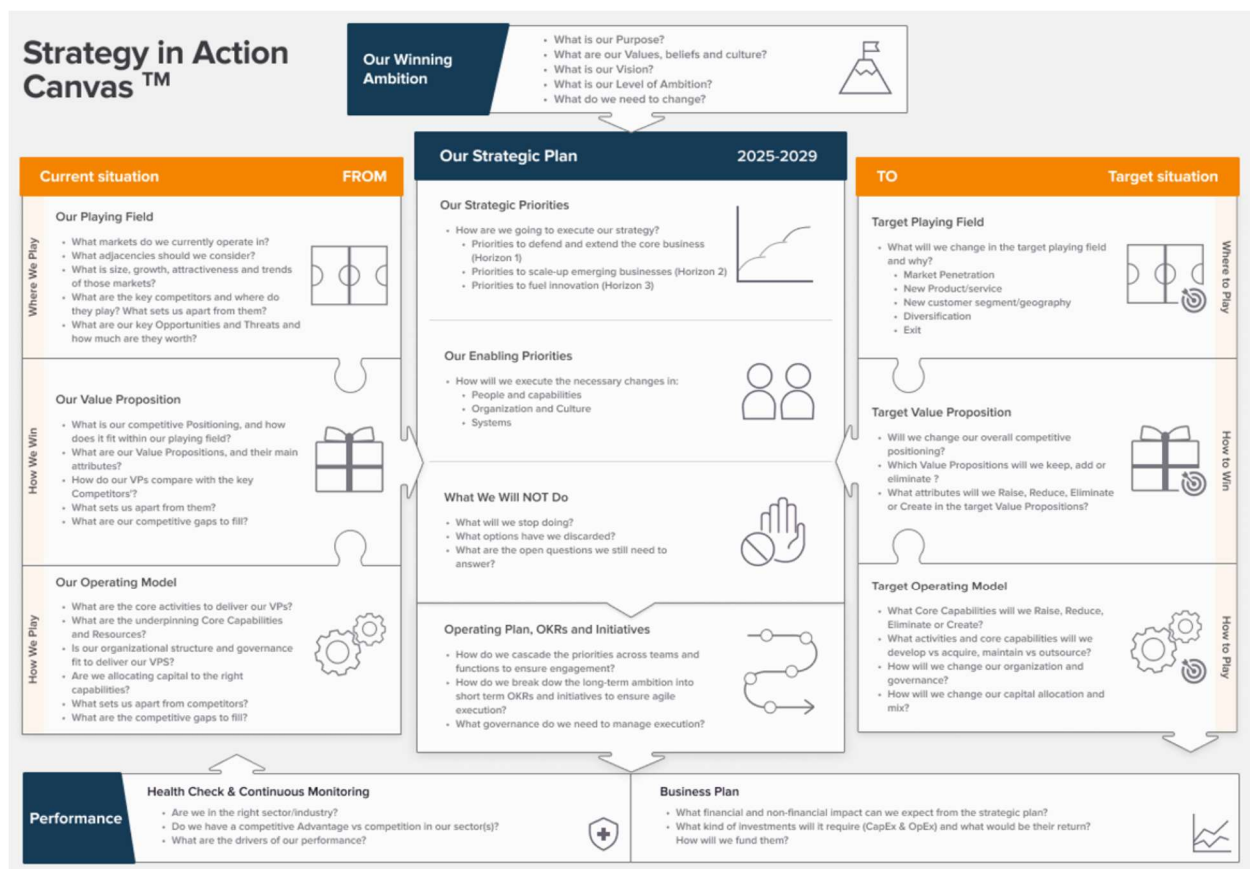
Here is where the rubber meets the road. First of all, the Tower of Babel of strategy: - plenty of literature, theories, frameworks, recipes, and definitions. Each one is useful, some are more effective and sound, but the risk of getting overwhelmed or confused, is quite high.



Secondly, we need a systematic process to guide us through the choices to be made to move an organization from the present to the future.

In our course, I will use the Strategy in Action Canvas to address the Tower of Babel challenge and to present strategic choices as a coherent strategic process.

What it is and why it matters



Hello and welcome to our overview of the Strategy in Action Canvas. I'm excited to walk you through this powerful framework that has transformed how organisations approach strategy development and execution.

The Strategy in Action Canvas addresses the "Strategy Chasm" between Strategy and Execution head-on by providing an integrated blueprint that connects Strategy, Execution and Finance.

The Strategy in Action Canvas is designed to enable three essential properties of every successful Strategy:

First, **integration**. Most organisations struggle with what we might call "strategic fragmentation." Your finance team has their goals, marketing has theirs, operations has theirs, and somehow, they're all supposed to magically align. The Canvas provides a single, unified view that connects your highest-level ambitions all the way down to your daily operational activities, but also all of your functions, and business units. Think of it as the GPS system for your organisation - it shows you where you are, where you're going, and how all the pieces fit together to get you there.

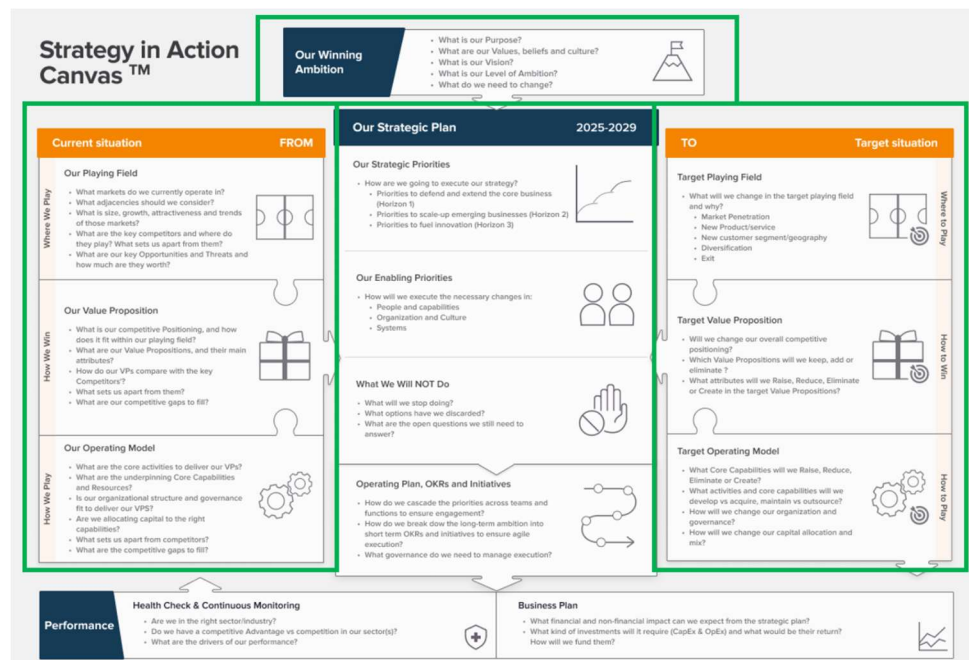
Second, **iteration**. Strategy isn't a once-a-year planning exercise that you put on the shelf and forget about. Markets change, competitors make moves, customers evolve their needs. **Strategy is a set of hypotheses which the execution needs to test and validate.**

Third, **coherence**. This is perhaps the most critical element. Coherence means that every choice you make, in any area of the Canvas, whether it is a choices of target market, resource allocation, or any capability you choose to develop, needs to reinforce, or at least be consistent, with all the other choices, altogether forming your overall strategic direction. It is indeed the systemic coherence of strategic choices that unlocks superior performance.

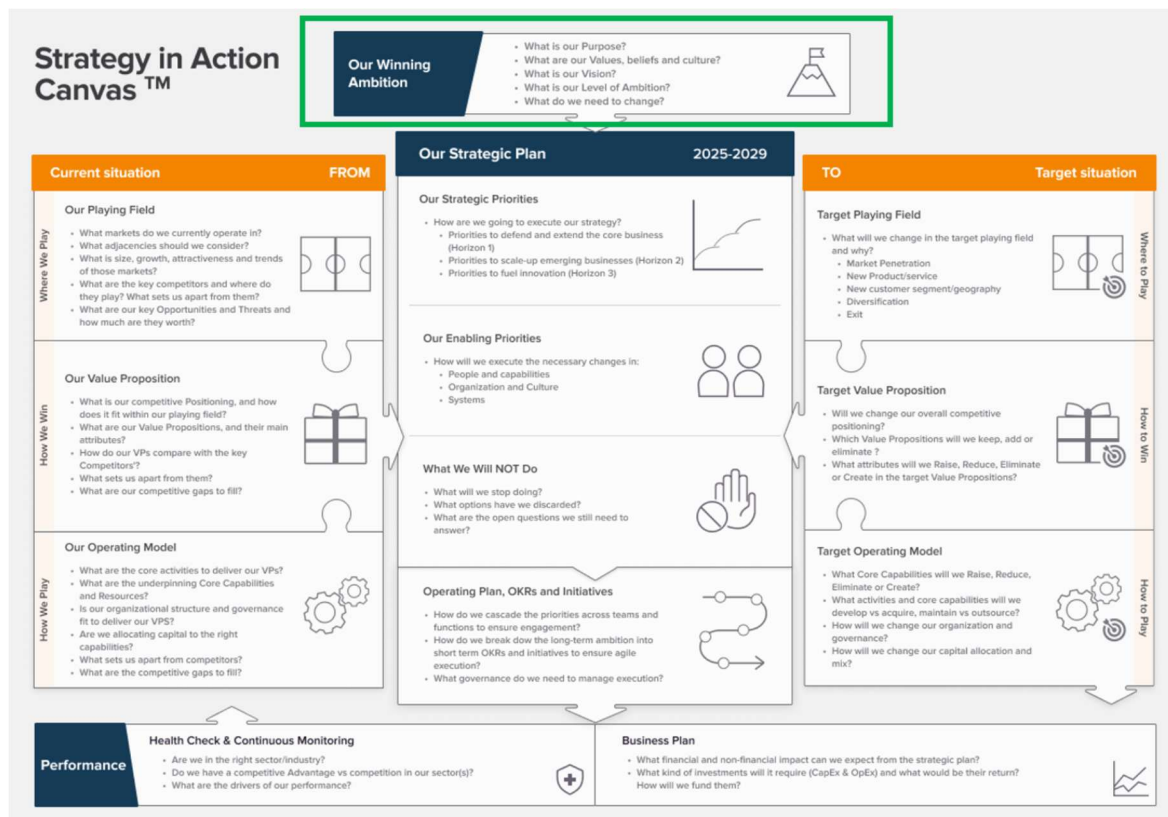
At its core, the Strategy in Action Canvas operates as a **comprehensive question engine**. Each box within the Canvas contains carefully crafted questions that are further broken down into specific sub questions within each area. This systematic questioning approach fundamentally ensures that you fully address all the necessary strategic considerations with unique insights and rigorous assumptions in those cases where definitive insights are not yet available. Rather than leaving critical strategic elements to chance or intuition, the Canvas guides you through a structured inquiry process that surfaces the key decisions and trade-offs that will determine your strategic success.

High-level structure

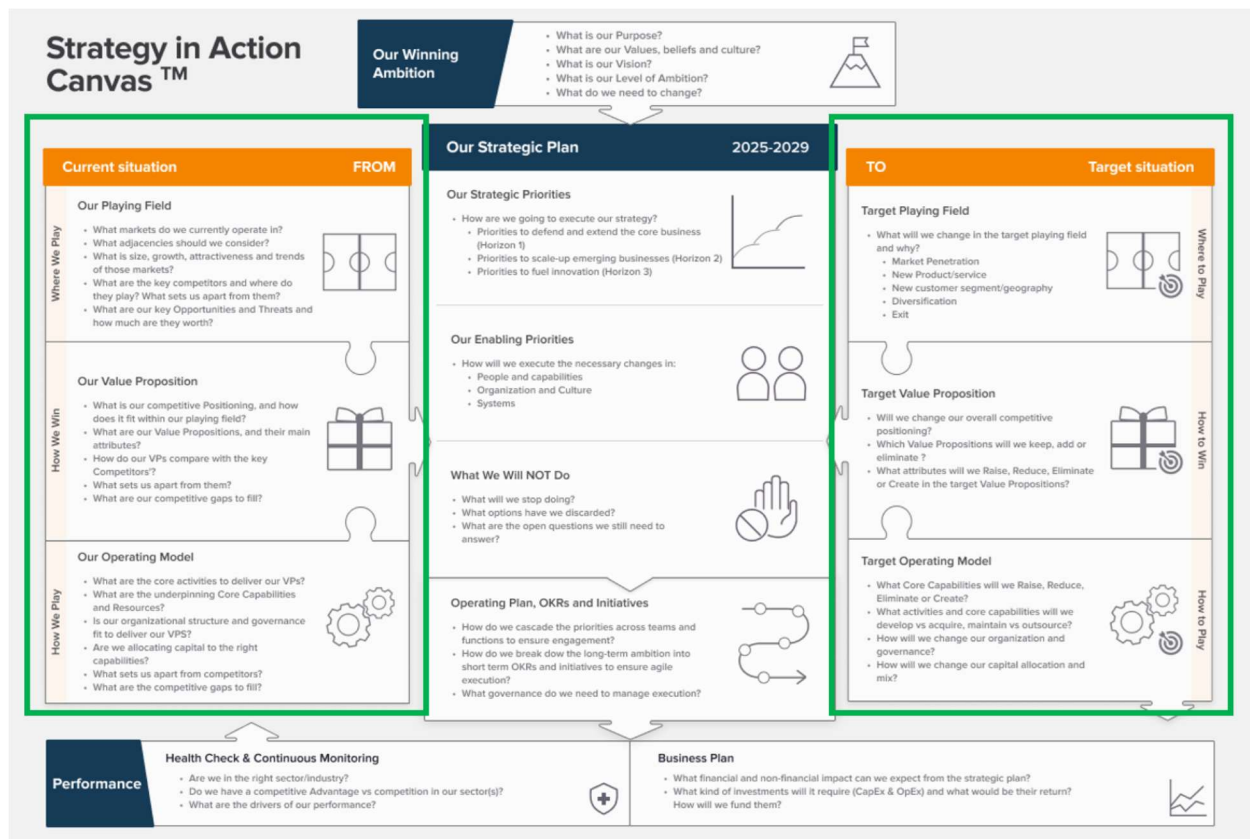
Now, let's look at the high-level architecture of the Strategy in Action Canvas. The framework consists of three main areas, each addressing a different aspect of strategic management: Strategy, Execution and Finance



The first area is **Strategy** itself - your fundamental choices about what is your definition of winning, where to play, how to win and how to play. These are the choices that set the overall direction, and are always made in condition of uncertainty.

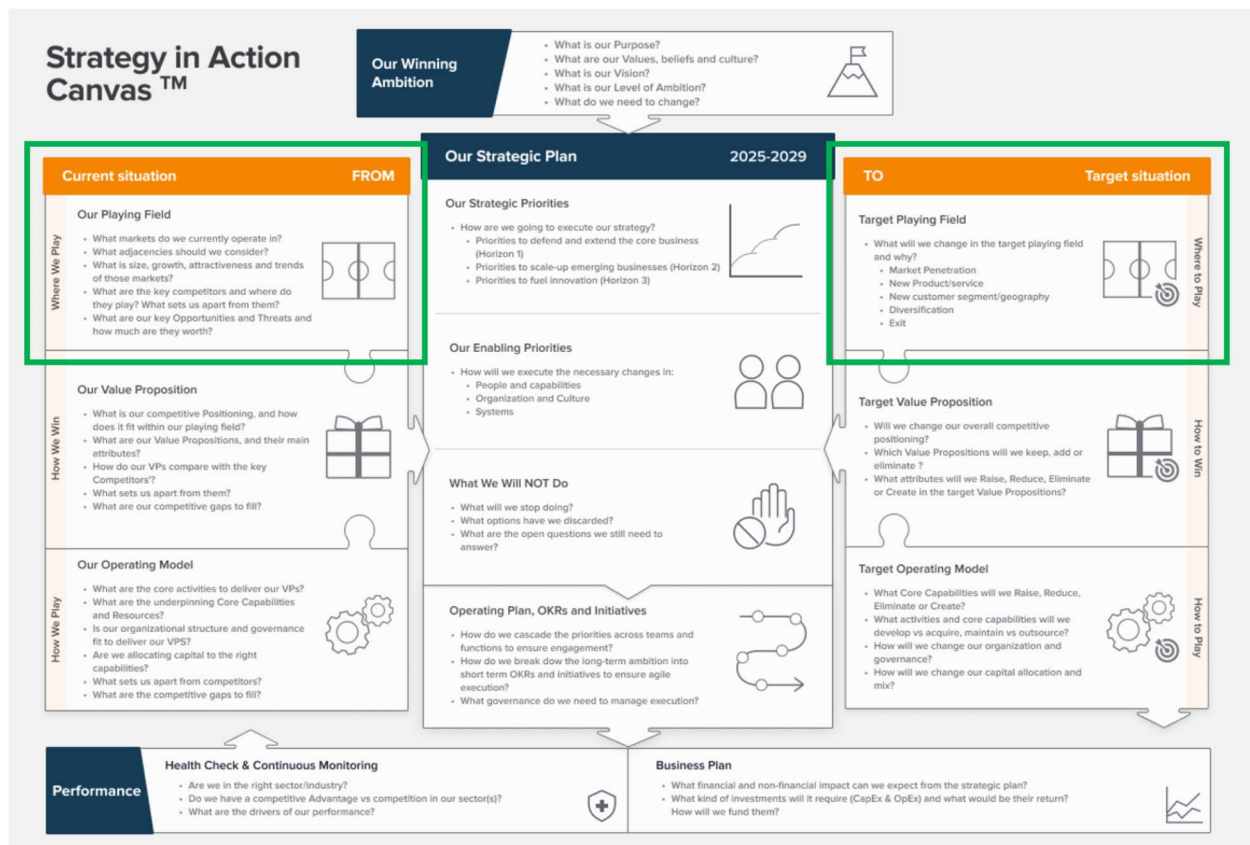


Your **Winning Ambition** is the foundation of everything else, defining why your organisation exists and what "winning" means for you in the future. It addresses one of the most common strategic failures: the lack of a clear, shared definition of success. Without a compelling Winning Ambition, your organisation becomes what strategy expert Richard Rumelt calls a "wandering generality" - lots of activity but no clear direction. A well-crafted Winning Ambition should be specific and measurable, define what winning looks like, provide concrete metrics, and set a clear timeframe.



The remaining three choices, Where to Play, How to Win and How to Play, are presented in the Canvas as distinct but interconnected. They are indeed somehow sequential but at the same time inseparable; for example, you may need first to identify a specific market space you want to be in, in order to define how you can win against competitors, but at the same if you realise you don't have the capabilities required to win in such space, and you choose not to acquire them, then your initial choice of where to play must be revised.

Critical to making these the strategic choices is first diagnosing your current strategic situation, and only then deciding what to change and what to maintain, to achieve your Winning Ambition. Many organisations find their current strategic position emerges from opportunistic decisions rather than explicit design. The Strategy in Action Canvas guides you in understanding the critical difference between your *current* state and your *target* state. This approach is applied to each of the three remaining areas of strategic choice:

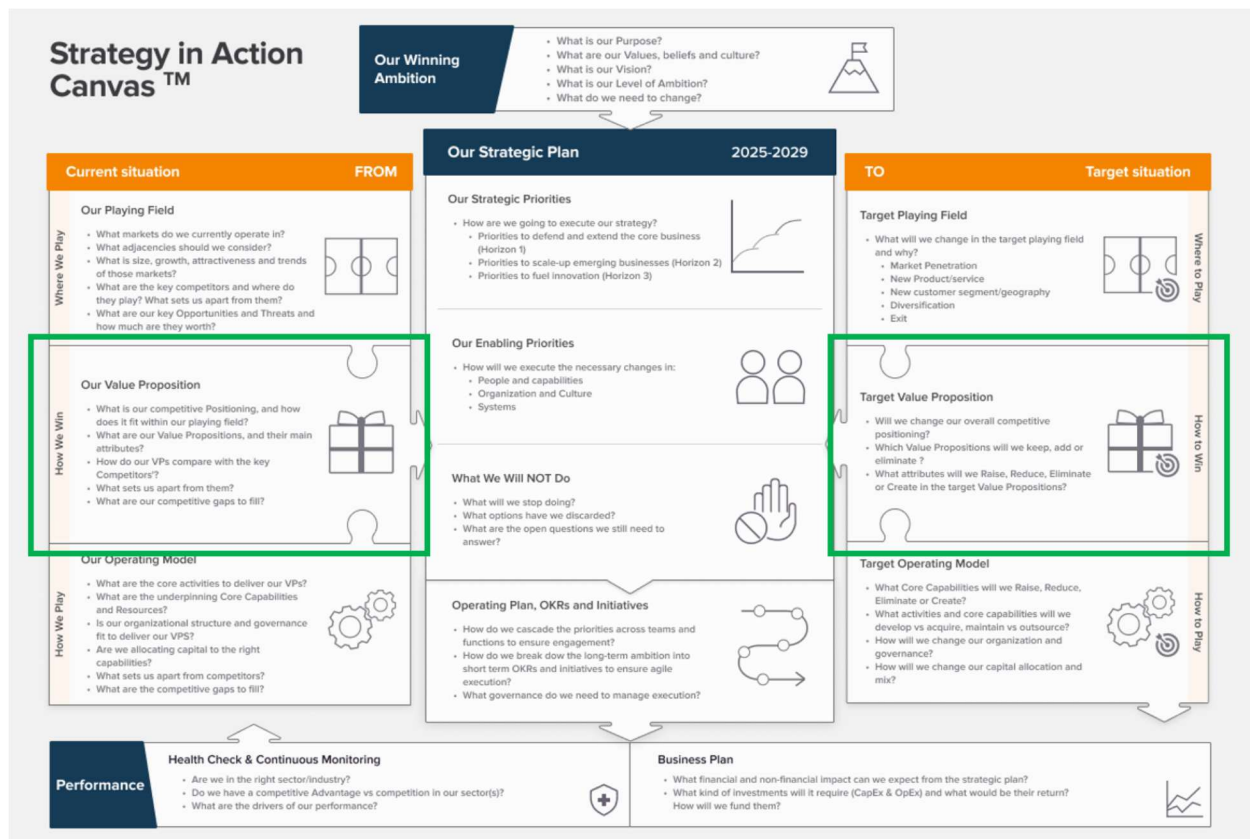


Your **Playing Field** represents the specific arenas where your organisation chooses to compete, encompassing six critical dimensions:

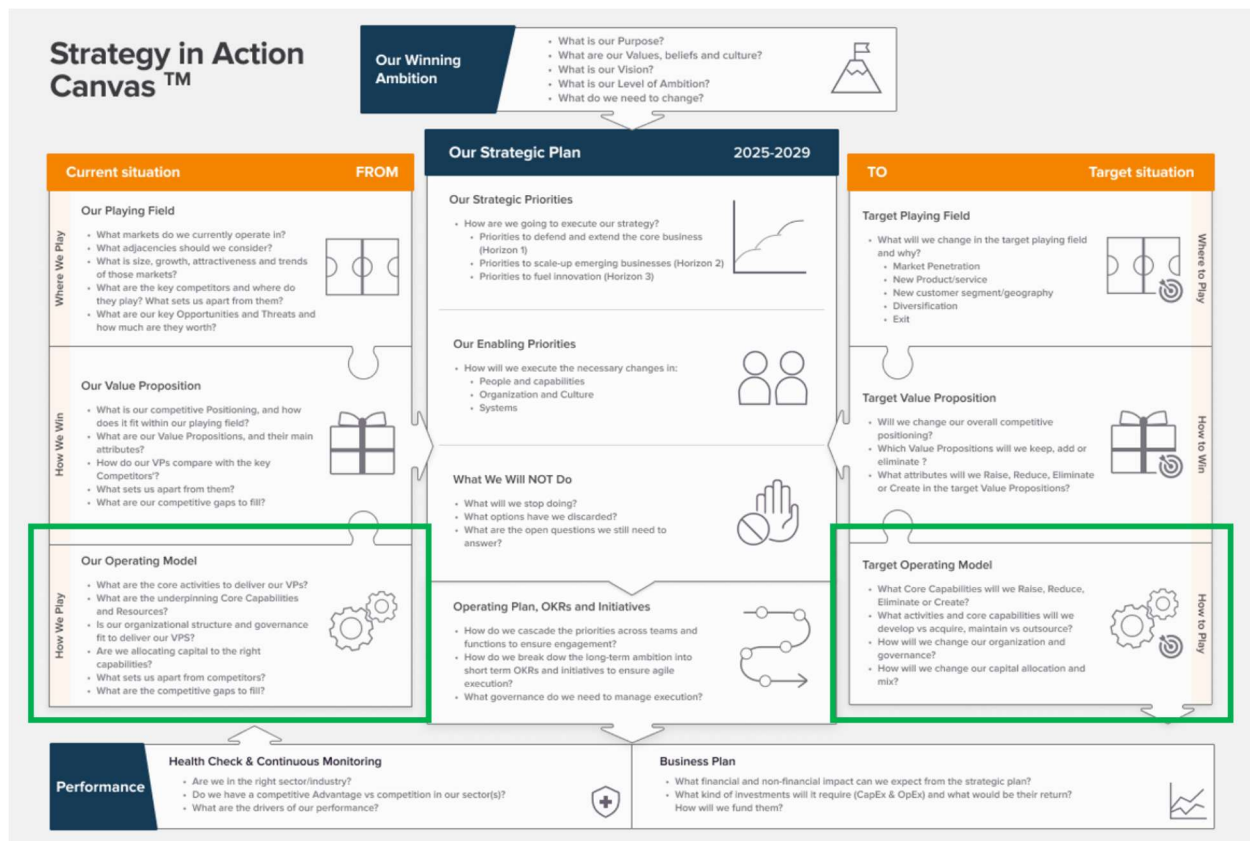
- Customer segments,
- Customer needs,
- Product and services categories,
- Distribution channels,
- Geographies,
- Vertical integration

This choice defines the very boundaries of your competitive space and determines your overall potential for success. The Playing Field is equally about where you will not play, as often deciding not to play in a particular space is critical to win elsewhere. Misaligned playing field decisions lead to resource fragmentation and confusion, both for customers and employees.

Finally, the most successful organisations don't just choose their playing field but actively shape it to their advantage, sometimes creating entirely new market spaces through boundary reconstruction rather than competing within existing industry definitions.

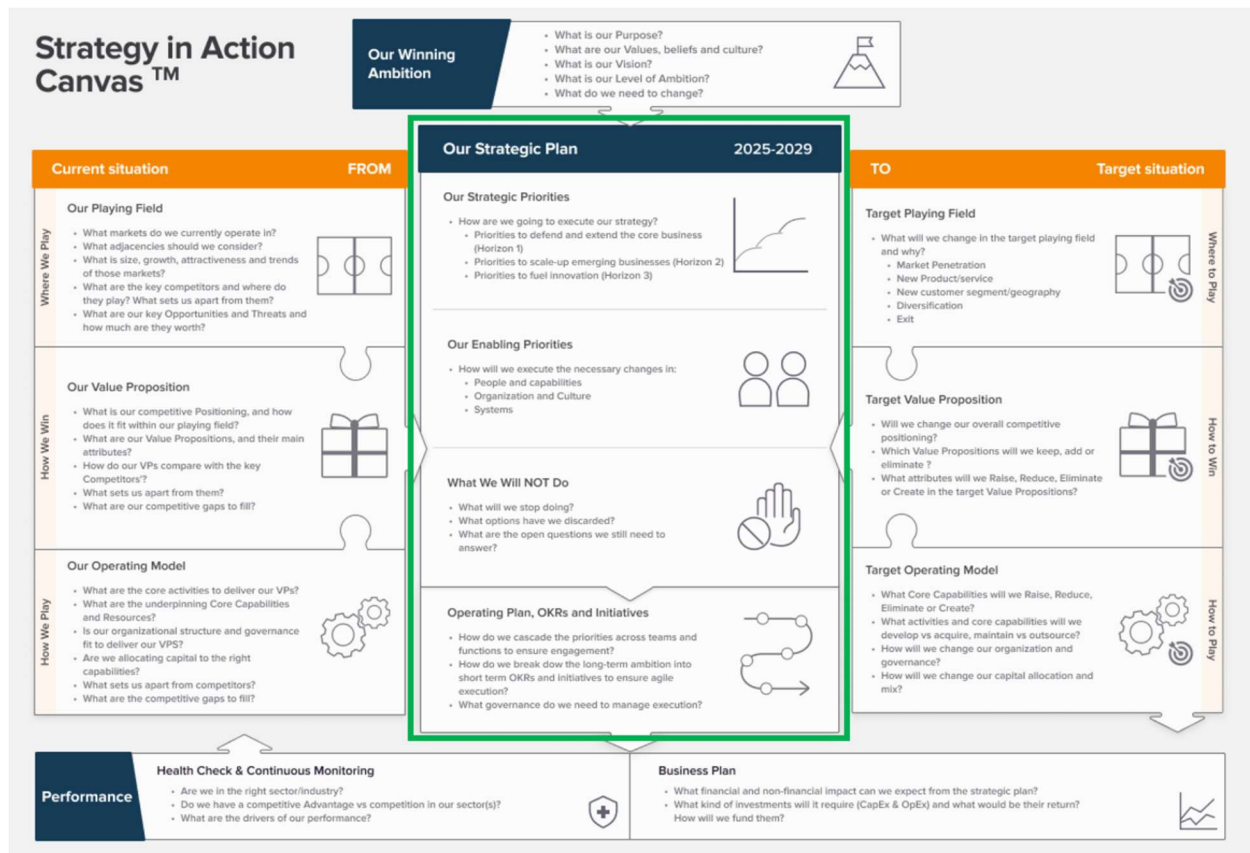


Your **Value Proposition** is the explicit promise you make to customers about the specific and unique combination of benefits you will deliver and the relative price at which those benefits will be available. This represents the central logic that drives all other strategic decisions and the primary mechanism through which strategy translates into customer preference. It may sound obvious, but it is only the customers who ultimately will determine whether your Strategy was right, and it is therefore critical to place the Value Proposition in the central place of all strategic choices. The most powerful Value Propositions create a unique "recipe" - a distinctive blend of value-maximising and cost-minimising ingredients that competitors cannot or do not want to replicate.

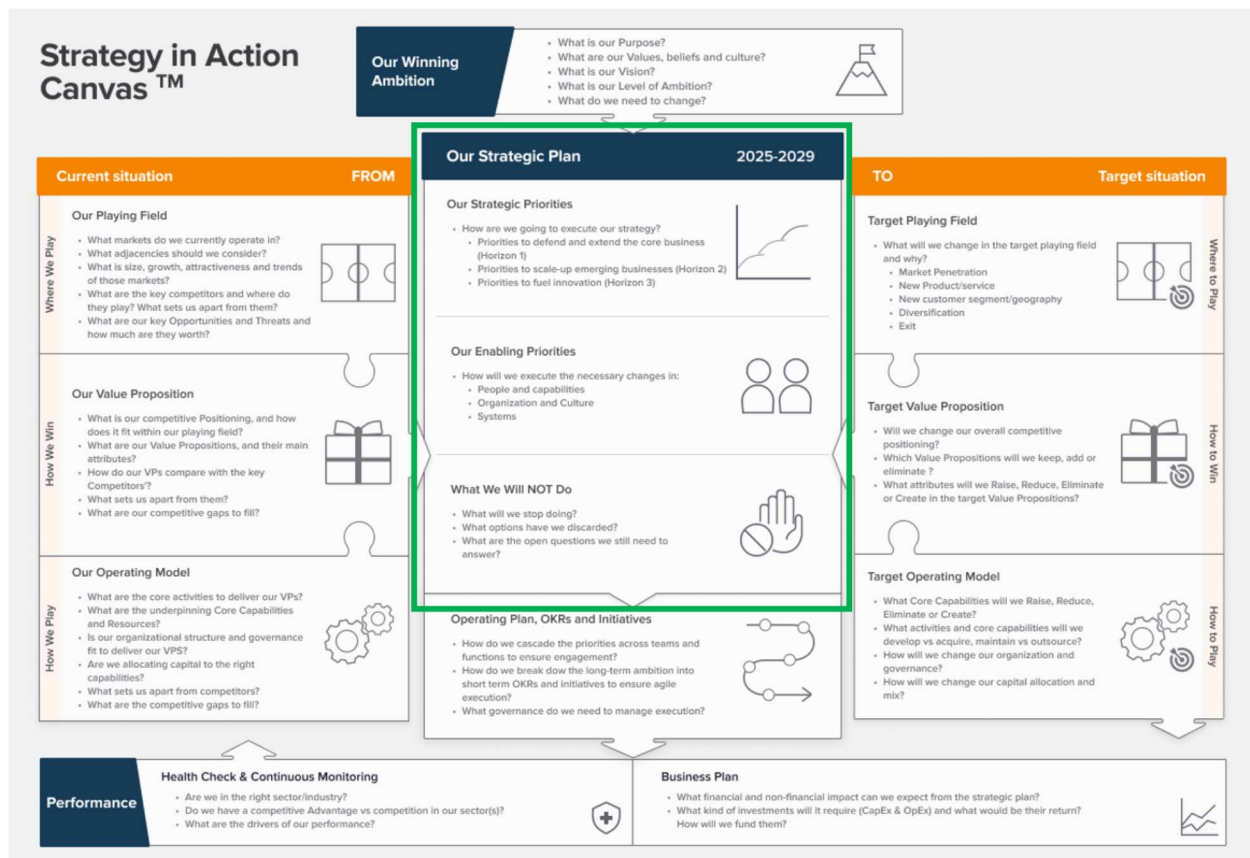


Your **Operating Model** is how you will organise and execute to deliver on your Value Proposition. This is where strategy meets reality, where your aspirations and strategic choices must become tangible organisational capabilities, structures, activities, IT systems and culture. The principle of coherence is particularly crucial here - real, sustainable competitive advantage comes not from any of these individual components but from how they all reinforce one another.

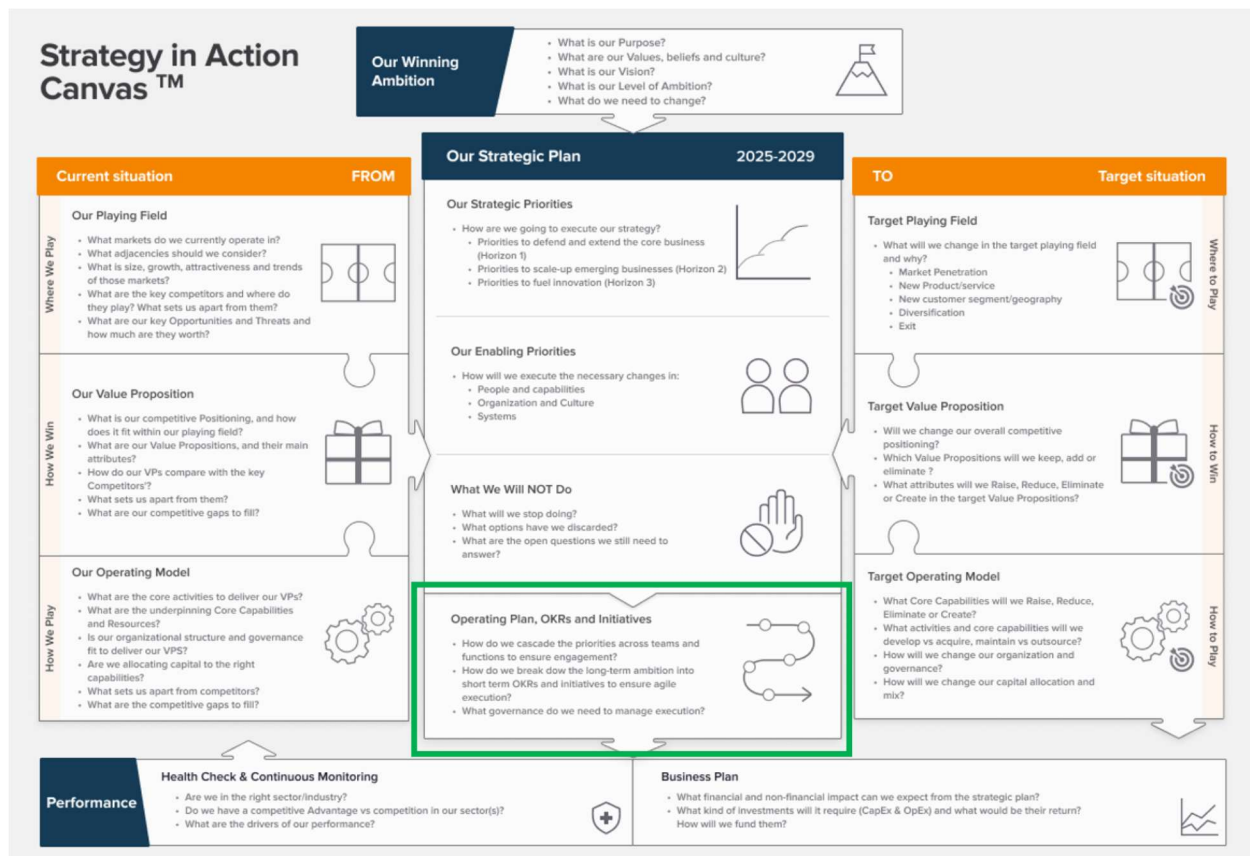
Execution



The second area of the Canvas is dedicated to **Execution** - how you translate strategic choices into concrete, planned organisational actions. At the highest level of Planning, we find *Strategic and Enabling Priorities*. These are the outcome of prioritizing and sequencing, over time, broad short-term and long-term actions, or plans, which are needed to implement the changes identified in the previous section of the Canvas (From - TO).



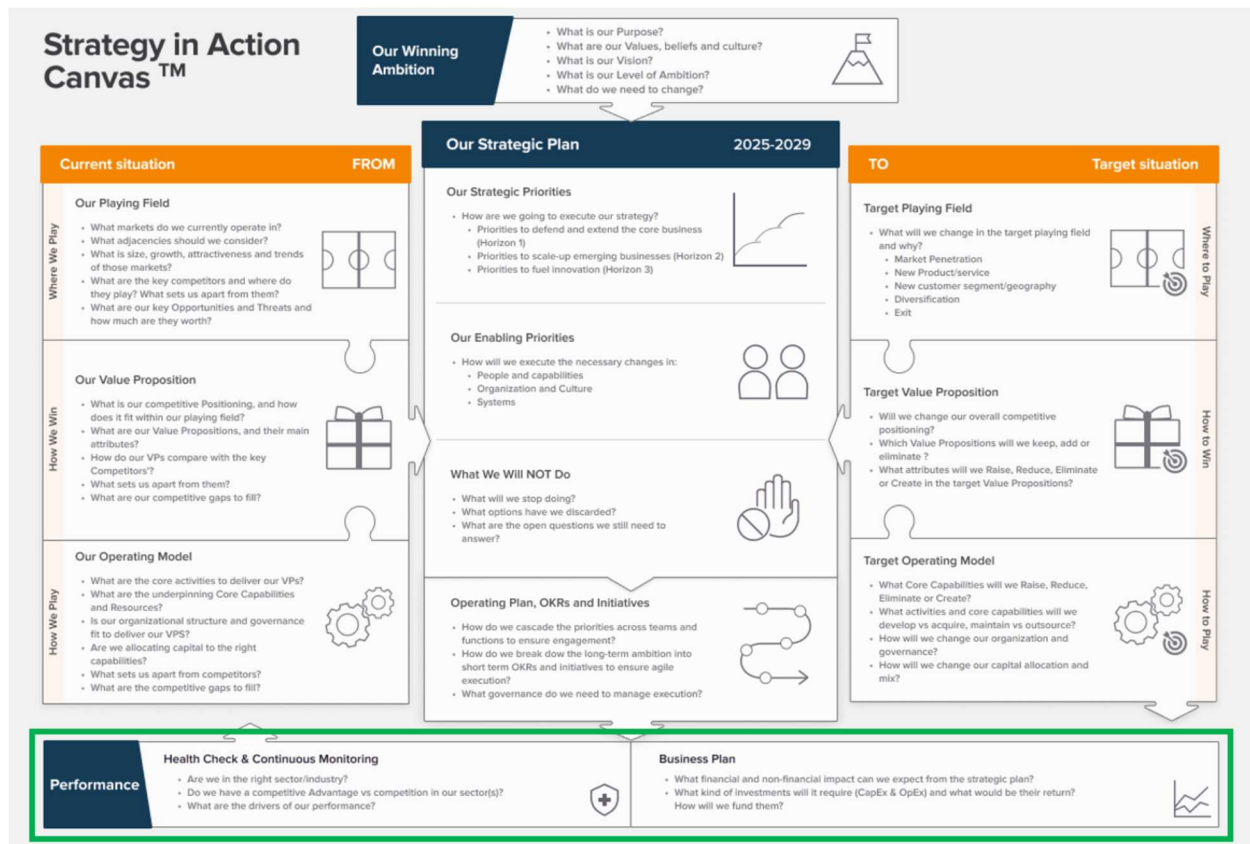
While **Strategic Priorities** are those actions which intend to direct impact on customers and markets, **Enabling Priorities** are those actions, or plans, which aim at strengthening, developing or acquiring the necessary capabilities or resources required by the Strategy. A critical and often overlooked aspect of a good strategic plan is an explicit statement of what the organisation will NOT do (e.g. the decision not to pursue an opportunity).



While Strategic Priorities are broad and high-level plans which can extend over multiple years, the *Operating Plan* further bridges the gap with Execution by breaking down each priority to a truly

actionable level, including detailed OKRs (Objectives and Key Results) and Initiatives, which involve a large section of the organisation with a monthly, quarterly and yearly time horizon. This is when strategic choices become actionable and relevant to teams and individuals in their daily and weekly routine.

Financial Performance



The third area is **Financial Performance** - the economic engine that powers your strategy. This includes your Health Check, which monitors key performance indicators in real-time. And it includes your Business Plan, which ensures your strategic choices are effectively translated into forward-looking financial statements. While Strategy and Financial Planning should be kept as two separate processes with different Owners, it is paramount that the two are well connected and coordinated.

Conclusion

What makes the Canvas powerful is how these Strategy, Execution and Financial Performance work together. Your Strategy provides direction and choices. Your Execution translates those choices into action. Your Financial Performance provides feedback and ensures sustainability. It's a closed-loop system where each area informs and improves the others.